Syllabus Edition
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The Need for Business Finance

Exam code: 0450, 0986 & 0264, 0774

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Start-up capital

- All businesses need finance to **get started**, allow them to **grow**, to fund capital investments and their **continuing activity**

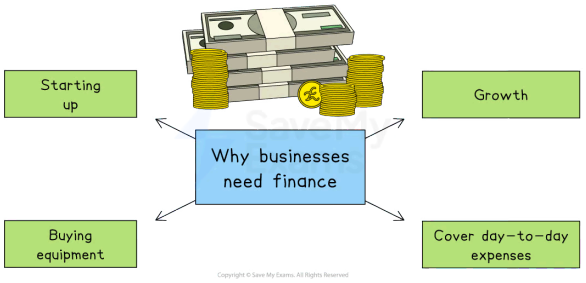

Diagram showing reasons why businesses need finance: starting up, buying equipment, growth, and covering day-to-day expenses.

- **Start-up capital** is the finance needed by a new business to pay for **fixed assets** and **current assets** before it can begin trading
- A business usually **estimates the amount of start-up capital they need** in the **business plan**
- Many small new businesses will get a start-up **loan** to cover these initial costs

Case Study

Lily's Local – Starting Up a Retail Clothing Shop

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

- Before she can open her doors to customers, Lily lists her start-up costs

Start-up costs for Lily's Local

Type of cost	Explanation
Premises	• Lily will need to pay a **deposit** and **rent** in advance for the shop unit
Shop fittings	• She must install **shelves, rails, mirrors, a counter** and changing rooms
Stock	• Initial clothing items must be bought **in bulk** from suppliers
Insurance	• Cover for **theft, fire, public liability** and damage to stock or property
Marketing and signage	• Lily will pay for **shop signs, flyers, social media adverts** and a basic website
Technology	• A **point-of-sale (POS) system**, card reader and, possibly, a small computer
Staff costs	• If hiring part-time help, she will need to **pay wages** and **cover training**
Utilities connection	• Setting up **electricity, water, internet** and phone lines
Legal and professional fees	• One-time payments for **legal advice**, setting up a business bank account or using an **accountant**

- Lily's start-up costs include both **one-off payments** (like fittings and licences) and **pre-payments** (like rent and stock)

and restocking will become part of her regular operating expenses

Capital for growth

- As a business grows more finance may be needed for **capital expenditure**
  - It may require more equipment, buildings, IT equipment or vehicles, which will allow the business to **increase output**
- If a business wants to grow by **developing a new product**, it will need to spend large amounts of capital on **research and development** (R&D)
  - For example. Apple's annual research and development expenses for 2023 were $29.915 billion
    - This represented a 13.96% increase from 2022, with investments in artificial intelligence (AI) and innovation of new products

Finance to replace fixed assets and invest in new technology

- Businesses need finance not just to buy new things, but also to **keep their operations up-to-date**
- Fixed assets like machinery, vehicles, or equipment **wear out or become outdated** over time
  - If they are not replaced
    - Production may slow down
    - Maintenance costs may increase
    - Products may become lower quality
  - Replacing old assets helps the business stay efficient and avoid delays
  - However, fixed assets are expensive, so businesses often need **loans** or use **leasing** to afford them.
- Technology changes quickly, so businesses need to invest regularly in
  - **Modern software** (e.g. for accounts or sales)
  - **Improved machines** (e.g. faster or more accurate equipment)
  - **Digital tools** (e.g. online payment systems or apps)

Working capital

- **Working capital is the money used in the day-to-day operations of a business**

keep the business operational
  - Without working capital, the business would be **unable to cover its day-to-day expenses**
  - It may suffer **cash-flow** problems which could lead to business failure

Examiner Tips and Tricks

Be specific when explaining why finance is needed – link it to clear purposes such as start-up capital, working capital, or expansion, rather than just saying "to run the business"

Short-term and long-term finance needs

- Short-term finance needs last **less than one year**
  - Examples include
    - Paying for stock or raw materials
    - Paying wages and utility bills
    - Covering temporary cash flow problems
    - Paying suppliers or rent
    - Unexpected repairs or inexpensive items of equipment
- Long-term finance needs last for **more than one year**
  - Examples include
    - Buying buildings, machinery or vehicles
    - Starting a new business
    - Expanding into new markets or countries
    - Developing new products
    - Replacing outdated equipment or technology

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